



COMSATS Institute of Information Technology Wah

Pillars of Islam (Zakah/Almsgiving) Lecture No. 10

Zakah Meaning:

Literal Meaning: Lexically, the word Zakah covers two meanings:

- a) Purification
- b) Growth

Literary Meaning: In the terminology of the Quran and Sunnah, Zakah is the portion of asset that is made mandatory to be spent in the ways specified by Allah.

Benefits of Zakah:

Zakah has two straight forward benefits:

- 1) Firstly, the payer himself gets purified from inner germs of the spiritual diseases.
- 2) Secondly, Zakah helps those who are not able to fulfill their needs independently. For e.g. orphans, widows, handicaps, poor people etc.

Zakat in Quran:

- **Zakat and prayer mentioned together in the Holy Quran**

وَأَقِيمُوا الصَّلَاةَ وَآتُوا الزَّكَاةَ وَارْكَعُوا مَعَ الرَّاكِعِينَ [2:43]

And be steadfast in prayer; practice regular charity; and bow down your heads with those who bow down (in worship).

- **Almighty Allah likes Zakat and dislikes Usury**

يَمْحَقُ اللَّهُ الرِّبَا وَيُزِيلُ الصَّدَقَاتِ ۖ [2:276]

Allah will deprive usury of all blessing, but will give increase for deeds of charity...

Importance of Zakah:

1: Quran has mentioned the consequences of not paying Zakat

وَالَّذِينَ يَكْنِزُونَ الذَّهَبَ وَالْفِضَّةَ وَلَا يَنْفِقُونَهَا فِي سَبِيلِ اللَّهِ فَبَشِّرْهُمْ بِعَذَابٍ أَلِيمٍ. [9:34]

...And there are those who bury gold and silver and spend it not in the way of Allah: announce unto them a most grievous penalty

2: Prophet Muhammad PBUH said: “The person whom Allah has bestowed with wealth, yet does not give its Zakah, on the Day of Judgment, his wealth will be turned into venomous bald serpent with two black spots over the eyes (or two poisonous glands in its mouth) which will wind around his neck and bite his jaws and say: ‘I am your wealth, I am your treasure.’” (Sahih al-Bukhari:1315)

Zakatable Assets:

It is not obligatory to pay Zakah on every asset. Rather only those assets are the subject matter of Zakah that have the potential of growth or increase. These assets may be broadly classified as follows:

- 1- Gold and silver
- 2- Cash & Cash Equivalent (like prize bonds, Travelers Checks etc.)
- 3- Trading assets.
- 4- Livestock (goats, sheep, cows and camels)
- 5- Agricultural output.

General conditions for all Zakah able assets:

- i. *Ownership:* The subject matter of Zakah must be in the complete ownership of the payer. If someone possesses an asset but does not own it, Zakah is not liable on it.
- ii. *Potential of growth:* The asset must have the potential of growth as the word Zakah itself means “Growth” or “Increase”.
- iii. *Asset must be in excess of basic necessity:* The assets included in the basic necessities e.g. crockery, furniture, car etc. are not the subject matter of Zakah provided that these assets are not purchased with the intention of sale.
- iv. *One year must elapse over the asset:* It is necessary that one year elapses over the asset which is subject to Zakah.

Nisab and Percentage:

In other words, *Nisab* is the minimum amount of wealth whose owner is deemed to be wealthy in the conception of Sharia and Zakah is obligatory on him. For example, one who owns 87.48 grams of gold or 612.36 grams of silver or its equivalent amount of cash or trading assets etc. is called *Sahib al-nisab* and it is obligatory on him to pay Zakah (i.e. 2.5% of his total Zakah able assets) to those who deserve Zakah.

WHO IS ELIGIBLE TO RECEIVE ZAKAT?

There are eight categories of people eligible to receive *Zakat*. They have been specified in the Noble *Qur'an* what can be translated as, *إِنَّمَا الصَّدَقَاتُ لِلْفُقَرَاءِ وَالْمَسْكِينِ*, [9:60] *وَالْعَامِلِينَ عَلَيْهَا وَالْمُؤَلَّفَةَ قُلُوبُهُمْ وَفِي الرِّقَابِ وَالْغَارِمِينَ وَفِي سَبِيلِ اللَّهِ وَابْنِ السَّبِيلِ*

"Alms are for the poor, the needy, the employees who administer the funds, those whose hearts have been recently reconciled to the Truth, those in bondage, those in debt, in the cause of Allah, and the wayfarer, (thus it is) ordained by Allah, and Allah is most knowledgeable, most wise." [al-Tawbah (9:60)]

Based on this verse, the ways of spending *Zakat* funds can be classified as follows:

- 1- For the poor (*Fuqara'*) who do not have enough to take care of their basic needs.
- 2- For the needy (*Masakeen*) whose basic needs are met but their income does not take care of other important needs.
- 3- For those whose sole job is to collect and distribute the *Zakat* funds.
- 4- For those who are close to accepting Islam as a religion, and those non-Muslims whose evil can be avoided if they receive money.
- 5- For freeing a Muslim person from bondage (whether a slave in the old times, or a prisoner of war in our times)
- 6- For those who are indebted and cannot pay their debts.
- 7- In the cause of Allah (SWT): the scholars have said that what is meant here is that *Zakat* can be given to those who volunteer to fight in the cause of Allah (SWT) and do not receive a fixed salary from the government.
- 8- For the wayfarer who is stranded in a foreign land and cannot get enough money to go back to his homeland, even though he might be rich otherwise. He should be given enough money to allow him to return to his homeland.

It is preferable that *Zakat* be paid to the poor and the needy among the relatives first.

WHAT IS MEANT BY BASIC NEEDS?

Basic needs refer to the things one cannot do without. *These may include any or all of the following: food, clothing, housing, transportation, health and education for oneself and one's dependents.* Dependents include spouse, children who are unable to earn their living and parents who are in need.

What is the difference between Zakat and Income Tax?

- Zakat is on savings
- A tax on savings is a 'just' tax
- A billionaire may not be liable to pay Zakat
- A person with low may be liable to pay Zakat
- Income is tax is on income
- A tax on income is an 'unjust' tax
- Imposed on everyone irrespective of time and income level
- Zakat → Poor
- Poor will Increase their demand
- Price will increase
- Producer will increase supply
- More investment → equitable income distribution

- More labour employment → increased employment level
- Zakat increases income and investment
- Zakat → poor's income increase → suppliers' income increase → producers' income increase
- Producers' increase their investment → employ more labour → labour income increase
- Usury (سود) decreases income and investment
- Debtor has to pay more than his debt
- Usury based investment creates inflation
- Money accumulates in few hands
- Decreases investment

Some Important rules relating to the recipients of Zakah

- If someone owns cash, trading assets, gold and silver equivalent to the value of 612.36 grams of silver, he/she is considered as wealthy in Sharia, hence not eligible to receive Zakah.
- The house in which one lives, the household furniture, servants, personal clothing and a motor vehicle, all are basic necessities. The owner of all these assets will not be considered as wealthy, no matter how expensive the assets are. Rather he is entitled to receive Zakah, if he does not have any zakatable asset equivalent to the value of *nisaab*.
- If a person has 20,000/- Rs. and he is indebted of 20,000/- Rs., he can receive Zakah. If, in the above case, he is indebted of less than 20,000/- Rs., then if the balance is equivalent or above to the value of *nisaab*, he cannot be given Zakah. And if the balance is less than the *nisaab*, he can be given Zakah.
- Zakah cannot be given to a minor child of a rich person because such minor is deemed to be rich by virtue of the wealth of his father. If the child is major and needy, Zakah may be given to him irrespective of the financial standing of his parents.
- Zakah can be given to a minor child whose father is not rich, but his mother is rich and wealthy because, a minor child is not considered rich by virtue of the wealth of his mother.
- Zakah can be given to a poor woman whose husband is rich. Similarly, it is permissible to give Zakah to a poor person whose child is rich.
- There is consensus of the Muslim jurists that it is not permissible to give Zakah to non-Muslims. Other forms of voluntary charity (*sadaqah naafilah*) may be given to them.
- Zakah cannot be given to the children of *Banu Hashim*. These are descendants of the Prophet's family, commonly known as Sayyads.